IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

CP (CAA) 15/CHE/2022
In
CA (CAA)/104(CHE)/2021

(filed under Section 230 to 232 of The Companies Act, 2013)

In the Matter of ***Scheme of Amalgamation***
Between

EKA ENTERPRISES LIMITED
CIN: U70102TN1983PLC100480
Reg. Off:-
No.88, Mount Road,
Guindy, Chennai -32 ... Transferor Company-1

UDBALA ENTERPRISES LIMITED
CIN: U74110TN1994PLC027373
Reg. Off:-
No.88, Mount Road,
Guindy, Chennai -32 ... Transferor Company-2

SOUTH INDIA TRAVELS PRIVATE LIMITED
CIN: U63040TN1968PTC005611
Reg. Off:-
No.88, Mount Road,
Guindy, Chennai -32 ... Transferee Company

And
Their Respective Shareholders and Creditors

Order Pronounced on 1st July 2022

CORAM:
JUSTICE (RETD.) S. RAMATHILAGAM, MEMBER (JUDICIAL)
ANIL KUMAR B, MEMBER (TECHNICAL)

For Petitioner(s) : *B. Chandra, PCS*
For Regional Director : *None Appeared*
For Official Liquidator : *B. Palani, Authorized Representative*
For Income Tax : *None Appeared*

ORDER

Per: **JUSTICE (RETD.) S. RAMATHILAGAM, MEMBER (JUDICIAL)**

CP(CAA)/15(CHE) /2022 is a joint Company Petition filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Amalgamation (hereinafter referred to as the 'SCHEME') as contemplated between the Petitioner Companies viz. **EKA ENTERPRISES LIMITED** (Transferor Company-1) And **UDBALA ENTERPRISES LIMITED** (Transferor Company-2) And **SOUTH INDIA TRAVELS PRIVATE LIMITED** (Transferee Company)under Section 230 to 232 and other applicable provisions of the Companies Act, 2013 (hereinafter referred to as *'the Act'*) read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (hereinafter referred to as *'the Rules'*) pursuant to the Scheme proposed between the Petitioner Companies and the said Scheme is also appended in Volume –II of the Company Petition in CP(CAA)/15(CHE)/2022.

2. The Composite Scheme of Amalgamation as contemplated between the Petitioner Companies involves Amalgamation of the Transferor Companies with the Transferee Company in accordance with the clauses of the proposed scheme.

3. 1ST MOTION APPLICATION – IN BRIEF

3.1 The Petitioner Companies have filed the First Motion Application vide CA(CAA)/104(CHE)/2021 seeking directions

for dispensation of the meetings of the Equity Shareholders, Secured and Unsecured Creditors as follows;

	Equity Shareholders	Preference Shareholders	Secured Creditor	Unsecured Creditors
Transferor Company-1	To dispense with	NA*	NA*	To dispense with
Transferor Company-2	To dispense with	NA*	NA*	To dispense with
Transferee Company	To dispense with	To dispense with	To dispense with	To dispense with

**(As there are no Preference shareholders / secured Creditors holding / dispensation of meetings are not applicable)*

3.2 Based on such applications moved under Sections 230-232 of the Companies Act, 2013; directions were issued by this Tribunal, vide order dated 24.12.2021 for dispensation of the meetings of the Petitioner Companies concerned. Thus the instant Petition is moved before this Tribunal for sanction of Scheme.

4. RATIONALE OF THE SCHEME

4.1 The learned Counsel appearing on behalf of the Petitioner Companies submitted that the salient Features of the proposed scheme are as follows:

The Amalgamation of the Transferor Companies with the Transferee Company will result in various benefits for all parties such as to:

4.1.1 Integrate, rationalize and streamline the management structure of the merged business.

4.1.2 Combined human and capital resources would strengthen the financial position of the merged entity and result in increasing leveraging capacity of the merged entity.

4.1.3 The amalgamation will ensure focused management in a single combined entity thereby resulting in efficiency of management and maximizing overall shareholder value.

4.1.4 Pooling of available knowhow, knowledge of the promoters, infrastructure, management, administration and marketing which would result in saving of cost.

4.1.5 Amalgamation of the companies would eliminate duplication of work, compliance cost, and administrative services and will result in cost savings.

4.1.6 Facilitate inter se transfer of resources and costs and optimum utilization of assets.

4.1.7 Synchronizing of efforts to achieve uniform corporate policy.

4.1.8 Ease in decision.

4.1.9 To reflect the consolidated net worth of these companies in one balance sheet.

5. The Petitioner Companies, as directed by this Tribunal during the Course of hearing of the instant petition had dispatched notices to the Statutory / Regulatory Authorities viz. (a) Central Government through the office of Regional Director (Southern Region), MCA (b) RoC, Chennai, MCA (c) Official Liquidator (d) the jurisdictional Income Tax Department Authorities governing the working of the respective companies in relation to the Scheme on 13.01.2022. And paper publication was also made in "Trinity Mirror", English and "Makkal Kural" Tamil on 12.01.2022.

6. The Petitioner Companies have filed an affidavit of service apprising the paper publication and dispatch of notices before the Registry of this Tribunal along with the typed set filed with the Company Petition and the same discloses that the Petitioner Companies have jointly effected the paper publication on 12.01.2021 as mentioned above. It is also seen that notices have been also served to (i) The Regional Director, Southern Region, Chennai on (ii) Registrar of Companies, Chennai (iii) Assessing Officer, Income Tax Department (iv) The Official Liquidator and Reserve Bank of India on 13.01.2022. Pursuant to the above said service of notice of the petition the following statutory authorities have responded as follows;

7. STATUTORY AUTHORITIES

7.1. REGIONAL DIRECTOR

7.1.1 The Regional Director, *(hereinafter referred to as 'RD')* Chennai to whom the notice was issued, has filed his Report before this Tribunal on 26.04.2022 and has decided not be make any objection to the scheme except to the observation made in para 11 of the report. The same is extracted hereunder,

> *"11. It is submitted that as per Clause 14 of the of the Scheme provides for clubbing of Authorized Share Capital of the Companies, as such the Authorized Share Capital of the Transferor Company shall stand be altered and merged with the Authorized Share Capital of the Transferee Company. Clause V of the MOA*

of the Transferee Company shall be altered as the Authorized Share Capital of the Company shall be Rs. 65,44,20,000 divided into 4,04,42,000 equity shares of Rs. 10 each and 2,50,00,000 Preference Shares of Rs. 10 each. The Transferee Company has stated that it shall make payment of the fee / stamp duty as applicable after setting off the payment made by Transferor Companies as required under Sec. 232(3)) of the Companies Act, 2013. It is prayed that the Hon'ble NCLT, Chennai may direct the Transferee Company to file the amended MOA and AOA with the Registrar in the prescribed e-form upon effectiveness of the Scheme.

7.1.2 It is further observed that no prosecution / complaint / inspection or investigation is pending against the Companies and that the Regional Director had decided not to make any objection to the scheme other than the above extracted para 11 and it is therefore prayed that this Hon'ble National Company Law Tribunal Bench at Chennai may dispose of the matters on merits and pass such order/orders as deemed fit and proper."

7.2. OFFICIAL LIQUIDATOR

7.2.1 The Official Liquidator (In short, 'OL') in its report dated 23rd May 2022, submitted that M/s. R. Govindan & Co, Chartered Accountants has verified the books and accounts of the Transferor

Companies. The report of the Official Liquidator states that the Chartered Accountant has examined the records of the Transferor Companies and prima facie, nothing adverse or objectionable issues affecting the Transferor Companies or its members or creditors or the public interest is noticed. The Chartered Accountants is of the opinion that the affairs of the Transferor Companies have not been conducted in a manner which is prejudicial to the interest of the members or to the public interest.

7.3 INCOME TAX DEPARTMENT

7.3.1 In spite of notice having been served to the Income Tax department by the Companies on 13.01.2021, there was neither any representation nor any report filed by the said authorities. In the said circumstances as per section 230(5) of the Companies Act, 2013, this Tribunal presumes that the said Department does not have any objection to the sanction of the Scheme.

7.3.2 However, in Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi with a view to protect the interest of the revenue, has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutorily dues from the transferor or transferee or any other person who is liable for payment of such tax dues the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."

7.4 OTHER STATUTORY AUTHORITIES

7.4.1 In relation to the other statutory authorities to whom notices have been issued, neither they have filed any reply nor raised any objections to the Scheme and in the circumstances, this Tribunal presumes that other statutory Departments do not have any objection to the sanction of the Scheme. It was further submitted that the equity shares of the Petitioner Companies are not listed with the stock exchanges, thus the Petitioner Companies do not require compliance of Listing Agreement or SEBI Rules/Regulations.

7.5 ACOUNTING TREATMENT

7.5.1 The Learned Counsel for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and certified that the Petitioner Companies have complied with provisions of the Companies Act, 2013 and the Accounting Treatment contained in the proposed Scheme of Amalgamation is in compliance with the Applicable Indian Accounting Standards. The Petitioner Companies have individually filed the Auditor's Certificate in relation to the accounting treatment proposed in the Composite Scheme being in compliance with the Accounting Standards notified under Section 133 of the Companies Act, 2013 on 31.03.2021.

7.5.2 Further perusal of the Scheme would show that the accounting treatment is in conformity with the established accounting standards. In short, there is no apprehension that any of the creditors would lose or be prejudiced if the proposed Composite Scheme is sanctioned. The said Scheme of Amalgamation will not cast any additional burden on the stakeholders

and also will not prejudicially affect the interests of the any class of the creditors in any manner.

8. OBSERVATIONS OF THIS TRIBUNAL

8.1 After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* in compliance with the provisions of the Companies Act, 2013. Further there seems to be no objection on the part of the shareholders that the Scheme is in any way detrimental to the interest of the shareholders of the Company. In view of absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Amalgamation along with Company Petitions as well as the prayer made therein.

8.2 The Learned Counsel for the Petitioner Companies submitted that no investigation proceedings are pending against the Transferor or Transferee Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Hon'ble Tribunal or erstwhile Company Law Board.

8.3 Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the persons concerned and also the directors and officials of the petitioners.

8.4 While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

THIS TRIBUNAL DO FURTHER ORDER:

(i) That the schedule mentioned properties, right and interest of the Transferor Companies shall pursuant to section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee as per the terms of the Scheme of Amalgamation.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Companies shall pursuant to Section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee/Resulting Company.

(iii) That all proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(iv) **The Appointed Date of the said Composite Scheme is 1st April 2020 as specified in the**

Scheme. The Effective Date shall mean *"the date on which all th conditions and matters referred to in clause 16&17 occur or have been fulfilled or waived in accordance with the scheme. Reference in this scheme to "upon the scheme coming into effect" shall mean the effective date"* as specified in Clause 3.3 of the Scheme proposed.

(v) That all the employees of the Transferor Companies in service on date immediately preceding the date on which the Scheme finally take effect shall become the employees of the Transferee Company without any break or interruption in their service.

(vi) That the Transferee Company shall file the revised Memorandum and Articles of Association with the concerned Registrar of Companies and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Companies.

(vii) That the Transferee Company do without further application allot to such members of the Transferor Companies, as have not given such notice of dissent, as is required in **Clause 11** of the proposed Modified Scheme of Amalgamation.

(viii) That the Transferor Companies and the Transferee Company, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Concerned Registrar of Companies along with a copy of the Composite Scheme

of Amalgamation for registration and on such certified copy being so delivered, the Transferor Companies shall be dissolved without winding up and the Registrar of Companies shall place all documents relating to the Transferor Companies and registered with him on the file kept by him in relation to all the Transferee Company and the files relating to the said both companies shall be consolidated accordingly.

(ix) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

(x) That each of the Transferor Companies which are being dissolved are directed to pay **Rs. 50,000**/-(Fifty Thousand Rupees Only) individually to the office of the Official Liquidator for payment towards Fee to the Charted Accountant engaged by the Official Liquidator in this matter.

9. That the Company Petitions are allowed and the Scheme of Amalgamation with the Company Petitions is hereby sanctioned and shall be binding on the members, unsecured creditors and shareholders of the Transferor/ Transferee Companies.

10. Accordingly, the Composite Scheme stands sanctioned and CP (CAA)/15(CHE)/2022 stand disposed of.

-Sd-

ANIL KUMAR B
MEMBER (TECHNICAL)

-Sd-

JUSTICE (RETD.) S. RAMATHILAGAM
MEMBER (JUDICIAL)